MONEY AND CREDIT

Class 10 Economics – Complete Notes

1. Introduction

Money plays an important role in our everyday economic life. We use money to buy goods and services, pay wages, repay loans and save for the future.

Credit, or borrowing, is also an important part of economic activities. People borrow money for different purposes such as starting a business, buying agricultural inputs, building houses, meeting education expenses or dealing with emergencies.

However, credit can have both positive and negative effects. It can help people increase their income, but unfavourable loan conditions may also lead to a debt trap.

2. Money as a Medium of Exchange

In the early days, people exchanged goods directly through the **barter system**.

Barter System

Barter is a system in which goods are exchanged directly for other goods without using money.
For example, a farmer may exchange wheat for cloth.

Double Coincidence of Wants

The main difficulty of the barter system is the requirement of a **double coincidence of wants**.
It means that both parties must be willing to buy what the other person is selling.
For example, a person having wheat and wanting shoes must find a person who has shoes and wants wheat.
Money removes this difficulty.

3. Modern Forms of Money

The modern forms of money mainly include:

1. Currency
2. Deposits with banks

Currency

Currency includes:

- Paper notes
- Coins

In India, currency is issued under the authority of the **Reserve Bank of India (RBI)**.
Currency is accepted as a medium of exchange because it is legally recognised and widely accepted.

4. Deposits with Banks

People often keep their extra money in bank accounts.
Banks accept deposits from people and pay them interest.
People can withdraw their money whenever required through:

- Cheques
- ATMs
- Digital payment systems
- Other banking facilities

Bank deposits are considered an important form of money because they can be used to make payments.

5. Cheques

A **cheque** is a paper instructing the bank to pay a specific amount of money from one person's account to another person or organisation.
Cheques reduce the need to carry large amounts of cash.
For example, if a person has ₹20,000 in a bank account, they can make a payment by cheque instead of paying ₹20,000 in cash.

6. How Do Banks Work?

Banks perform two major functions:

1. Accepting Deposits

Banks accept deposits from people.
People keep only a small portion of their deposits as cash for daily needs. The remaining money is used by banks for lending.

2. Providing Loans
Banks lend money to people and businesses.
Loans are provided for purposes such as:
- Agriculture
- Business
- Education
- Housing
- Vehicle purchase
- Other productive activities

Banks charge interest on loans.

7. How Banks Mediate Between Depositors and Borrowers
Banks act as intermediaries between people who have surplus money and people who need money.
The process can be understood as:
Depositors → Banks → Borrowers
Banks:
- Collect deposits from savers.
- Pay interest to depositors.
- Use a major portion of deposits to provide loans.
- Charge interest from borrowers.
- Earn income from the difference between the interest charged on loans and the interest paid on deposits.

Thus, banks help circulate money in the economy.

8. Credit
Credit refers to an agreement in which a lender provides money, goods or services to a borrower with the expectation of repayment in the future.
The borrower generally repays:
Principal + Interest
Example
A farmer borrows ₹50,000 to buy seeds, fertilisers and other agricultural inputs. After harvesting and selling the crop, the farmer repays the loan with interest.
Credit can help people increase their income when it is used for productive purposes.

9. Positive Role of Credit
Credit can be beneficial when the borrower uses it properly.
For example, a small shopkeeper may borrow money to purchase more goods. If the business earns enough profit, the shopkeeper can repay the loan and improve their income.
Thus, credit can:
- Increase production
- Expand businesses
- Generate employment
- Increase income
- Improve living standards

10. Credit and Debt Trap
Credit can become harmful when the borrower is unable to repay the loan.
A **debt trap** is a situation in which a borrower has to take another loan to repay an earlier loan.
Example
Suppose a farmer takes a loan for cultivation. If the crop fails because of drought, flood or other reasons, the farmer may not earn enough to repay the loan.
The farmer may then borrow again.
This can lead to a cycle of debt.
Loan → Crop Failure → Inability to Repay → New Loan → Increasing Debt
Therefore, the outcome of credit depends on the terms of credit and the situation of the borrower.

11. Terms of Credit
Different lenders may provide loans under different conditions.
The important terms of credit include:

1. Interest Rate
The additional amount paid by the borrower to the lender for using the borrowed money.

2. Collateral
An asset that a borrower offers as a guarantee against a loan.
Examples:

- Land
- Building
- Vehicle
- Property
- Livestock

If the borrower fails to repay the loan, the lender may have the right to sell the collateral according to the loan agreement and applicable law.

3. Documentation
Banks may require documents such as:

- Identity proof
- Address proof
- Income-related documents
- Property documents

4. Mode of Repayment
The borrower and lender agree on how and when the loan will be repaid.

12. Formal Sources of Credit

Formal sources of credit include:

- Banks
- Cooperative societies

These institutions are regulated and supervised by government authorities and the RBI as applicable.
Formal credit generally involves proper documentation and fixed terms.

13. Informal Sources of Credit

Informal sources include:

- Moneylenders
- Traders
- Employers
- Relatives and friends
- Other private lenders

Informal lenders may charge high rates of interest and may not always follow standardised procedures.

14. Difference Between Formal and Informal Credit

Formal Sources	Informal Sources
Banks and cooperatives	Moneylenders, traders, relatives etc.
Regulated by relevant authorities	Generally not regulated in the same way
Usually require documentation	May involve less documentation
Interest rates are generally more transparent	Interest rates may be very high or negotiable
Terms are usually clearly specified	Terms may vary significantly

15. Why Do Poor People Often Depend on Informal Credit?

Poor households may find it difficult to obtain bank loans because they may:

- Lack collateral
- Have irregular income
- Lack required documents
- Have limited access to banking services
- Find formal procedures difficult

As a result, they may depend more on informal sources.

16. Self-Help Groups (SHGs)

Self-Help Groups are small groups, often formed by people with limited access to formal credit.

Members regularly save small amounts of money.
The collected money can be used to provide loans to members.
SHGs can help people:

- Save regularly
- Obtain small loans
- Reduce dependence on moneylenders
- Develop financial discipline
- Improve access to formal banking

17. Role of Self-Help Groups in Rural Areas

Self-Help Groups are particularly important for improving access to credit among poorer households.
They help members obtain loans for:

- Small businesses
- Agriculture
- Livestock
- Education
- Household needs

SHGs can also strengthen the economic position of their members.

18. Need to Expand Formal Sources of Credit

Formal sources of credit are important because they can provide loans at relatively reasonable and regulated terms.
If people depend heavily on informal lenders, they may face high interest rates and difficult repayment conditions.
Therefore, greater access to formal credit is important for:

- Farmers
- Small businesses
- Rural households
- Low-income families

19. Important Terms

Money
Anything that is widely accepted as a medium of exchange.
Barter System
Direct exchange of goods and services without using money.
Double Coincidence of Wants
A situation in which both parties in a barter exchange want what the other has.
Credit
An arrangement in which money, goods or services are provided with an agreement of repayment in the future.
Collateral
An asset used as security against a loan.
Interest
The additional amount paid by a borrower to a lender for using borrowed money.
Debt Trap
A situation in which a borrower becomes unable to repay a loan and may have to borrow again.
Formal Credit
Credit provided through regulated institutions such as banks and cooperative societies.
Informal Credit
Credit provided by sources such as moneylenders, traders, employers, relatives and friends.
Self-Help Group
A small group that encourages savings among members and facilitates access to credit.

20. Quick Revision

- Money acts as a **medium of exchange**.
- Barter requires a **double coincidence of wants**.
- Modern money includes **currency and bank deposits**.
- Banks accept deposits and provide loans.
- Credit can support productive economic activities.
- Credit can also lead to a **debt trap**.
- **Collateral** is an important term of many loans.

- Banks and cooperative societies are major **formal sources of credit**.
- Moneylenders, traders and relatives are examples of **informal sources of credit**.
- **Self-Help Groups** improve access to credit for many low-income households.
- Greater access to formal credit is important for economic development.

21. Important Exam Questions

Very Short Answer Questions

1. What is money?
2. What is barter?
3. What is double coincidence of wants?
4. What is credit?
5. What is collateral?
6. What is a debt trap?
7. Name two formal sources of credit.
8. Name two informal sources of credit.
9. What is a Self-Help Group?
10. What is the role of banks in the economy?

Short Answer Questions

1. Why is money called a medium of exchange?
2. What are the difficulties of the barter system?
3. Explain how banks use deposits to provide loans.
4. What are the important terms of credit?
5. Why can credit sometimes lead to a debt trap?
6. Differentiate between formal and informal sources of credit.
7. Why do poor households often depend on informal sources of credit?
8. Explain the role of Self-Help Groups.

Long Answer Questions

1. Explain the role of money in the modern economy.
2. Describe how banks function as intermediaries between depositors and borrowers.
3. Explain the positive and negative effects of credit with suitable examples.
4. Compare formal and informal sources of credit.
5. Explain the importance of Self-Help Groups in improving access to credit.